Name: _____

CWID: ☐☐☐☐☐☐☐☐☐ One digit per box.

Sheet 1 of 2

Practice Exam B

ECON 201

Instructions

- 60 minutes. Two parts, weighted equally at 10 points each, each on its own sheet printed front and back: Part 1, ten multiple-choice questions; Part 2, one long-form question.
- Closed book and closed notes. Bring a basic calculator. There is no help sheet, since there is not much to put on one: the only formula you might need is for the area of a triangle, and any question that needs it will give it.
- Write your name and CWID, one digit per box, at the top of every sheet: the sheets are graded separately and matched by CWID.
- Show your work and explain your answers in Part 2.

Part 1: Multiple Choice [10 pts]

1 point each. Fill the bubble of the one best answer.

1. At a price of \$3, shoppers want 200 bags of oranges and stands offer 120. What do we expect to happen?

   ○ A ○ B ○ C ○ D

   (A) The price falls, since there is excess supply of 80.
   (B) The price stays at \$3, since some bags still sell.
   (C) The price rises, since there is excess demand of 80.
   (D) The price falls, since there is excess demand of 80.

2. Many students sell the same used bike, and the going price is \$60. One buyer offers \$50. What happens?

   ○ A ○ B ○ C ○ D

   (A) They buy a bike at \$50, since sellers must compete for buyers.
   (B) They buy nothing, since sellers go to other buyers paying \$60.
   (C) The going price falls to \$50 for all of the other buyers.
   (D) They buy from the sellers who value the money the most.

3. A town has 8 identical farms. Each can grow 30 crates of apples at a marginal cost of \$4 and 10 more at \$9. What is the market supply at a price of \$6?

   ○ A ○ B ○ C ○ D

   (A) 30
   (B) 80
   (C) 240
   (D) 320

4. The going price is \$5. A buyer who would pay up to \$9 buys a unit, and a seller sells one whose marginal cost is \$3. Who gains how much?

   ○ A ○ B ○ C ○ D

   (A) The buyer \$4 and the seller \$2.
   (B) The buyer \$2 and the seller \$4.
   (C) The buyer \$9 and the seller \$3.
   (D) The buyer \$6 and the seller \$6.

5. The price of eggs rises, and the number of eggs sold rises too. Which shift explains this?

   (A) Demand shifted right.
   (B) Demand shifted left.
   (C) Supply shifted right.
   (D) Supply shifted left.

○ ○ ○ ○
A B C D

6. In one competitive market, supply is much steeper than demand. Which side gets the larger share of the surplus?

   (A) Buyers, since their demand curve is the flatter of the two.
   (B) Neither, since each side gets half of the total surplus.
   (C) Buyers, since they are the ones who pay the price.
   (D) Sellers, since supply is the less elastic side.

○ ○ ○ ○
A B C D

7. A frost raises the marginal cost of every orange. In the new equilibrium:

   (A) the price falls and the quantity rises.
   (B) the price rises and the quantity falls.
   (C) the price rises and the quantity rises.
   (D) the price falls and the quantity falls.

○ ○ ○ ○
A B C D

8. Why is supply more elastic in the long run than in the short run?

   (A) Buyers have more time to find the lowest price.
   (B) Marginal costs always fall as time goes by.
   (C) Fixed costs no longer have to be paid at all.
   (D) Firms can invest, enter, or leave the market.

○ ○ ○ ○
A B C D

9. A market clears at $8. After a 25% tax on sellers, buyers pay $9 and sellers keep $7.20. Who bears more of the tax?

   (A) Sellers, since the law says that they pay the tax.
   (B) Buyers, since they pay $1 more and sellers keep $0.80 less.
   (C) Sellers, since they keep $7.20, which is below what buyers pay.
   (D) Neither, since each side bears exactly half of the tax.

○ ○ ○ ○
A B C D

10. A city caps the price of parking below the equilibrium. At the cap, garages offer 300 spots and drivers want 500. How many spots are used?

    (A) 500
    (B) 400
    (C) 300
    (D) 200

Name: _____

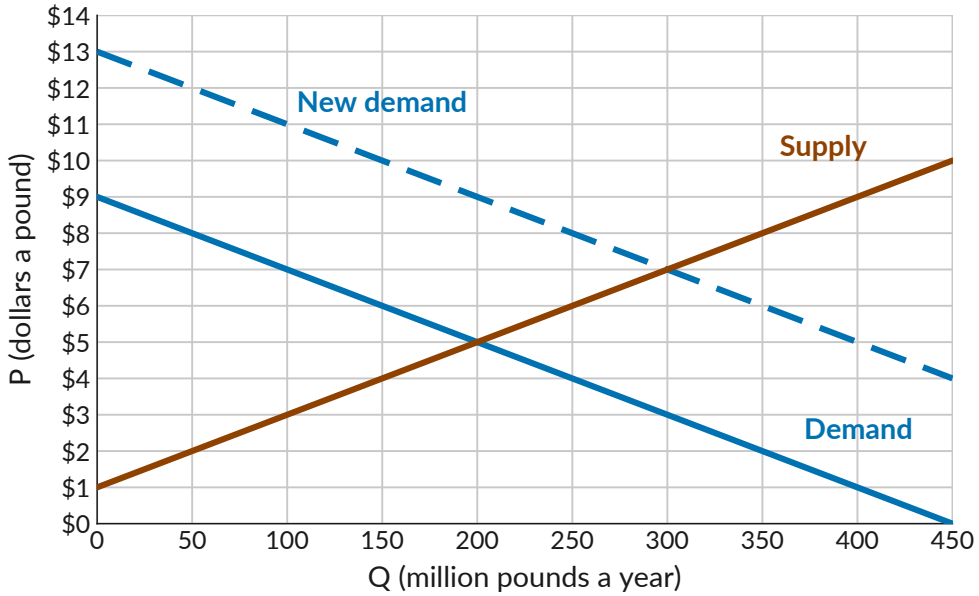
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Sheet 2 of 2. Show your work and explain your answers.

Part 2: Long-Form Question [10 pts]

The Quinoa Market

The graph shows a stylized market for quinoa. The solid lines show demand and supply before a boom. Then consumers in Europe and North America start buying quinoa, and at every price buyers want 200 million pounds more: the dashed line shows the new demand curve. Read your answers off the graph.



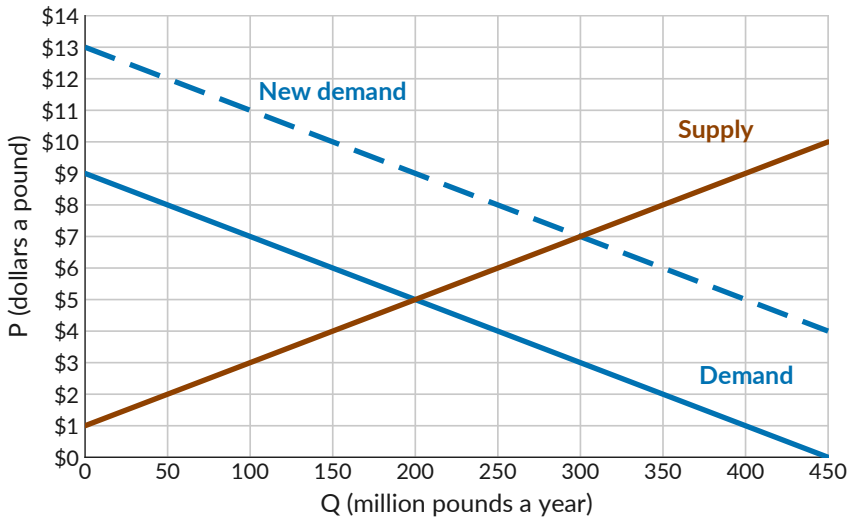
(a) [1 pt] What are the equilibrium price and quantity before the boom? Mark this point, *A*, on the graph.

(b) [1 pt] After the boom, at the old price, how much do buyers want and how much do farmers offer? Is there excess demand or excess supply, and how much?

(c) [1 pt] What are the new equilibrium price and quantity? Mark this point, *B*, on the graph.

(d) [1.5 pts] No one announces the new equilibrium price. Explain how the price gets from $5 to the new equilibrium.

(e) [1.5 pts] In the move from *A* to *B*, did the supply curve shift? What happened to the quantity supplied, and why?



(f) [1 pt] In the following years, the high price draws more land and more farmers into quinoa, who offer 100 million pounds more at every price. Draw the new supply curve on the graph above.

(g) [1 pt] At $7, how much would farmers now offer, and how much do buyers want? Is there excess demand or excess supply, and how much?

(h) [1 pt] What are the new equilibrium price and quantity? Mark this point, *C*, on the graph.

(i) [1 pt] So in response to the boom, what does the price do over time, and why?